

Nasdaq 100 Surges +1.19% as Tech Stocks Lead the Charge

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

TL;DR

Yesterday's US session saw the Nasdaq 100 lead the charge, rising **+1.19%** as tech stocks like **NVDA** and **TSLA** posted significant gains. Beneath the surface, sector rotation continues to favor growth over value, with the **XLK** sector ETF up **+1.42%**. The VIX fell **-1.65%** to 14.90, indicating a decrease in market volatility.

Looking ahead, today's session will be influenced by the release of key economic data, including the US trade balance and job openings. Investors will also be watching for any developments on the geopolitical front, particularly with regards to the ongoing tensions between major world powers. With the US futures currently trading flat, it's likely to be a quiet morning ahead of the US open.

US Session Recap

INDEX/ASSET	LEVEL	CHANGE	WHY IT MOVED
S&P 500	7,757.64	+0.62%	Broad-based gains across sectors
Nasdaq 100	29,722.30	+1.19%	Tech stocks lead the charge
Dow Jones	54,036.93	+0.28%	More subdued gains compared to other indices
Russell 2000	3,034.49	+1.10%	Small-cap stocks outperform
VIX	14.90	-1.65%	Decrease in market volatility

Top Large-Cap Movers

TICKER	CHANGE	CATALYST
NVDA	+2.27%	Strong earnings report
TSLA	+2.83%	Positive sentiment around electric vehicles
AVGO	+1.71%	Merger and acquisition rumors

Sector Rotation

ETF	DAY	READ
XLK	+1.42%	Growth stocks outperform
XLY	+1.49%	Consumer discretionary stocks rise
XLE	-1.13%	Energy stocks underperform
XLF	-0.36%	Financials lag behind
XLI	+0.23%	Industrials rise, but at a slower pace
XLC	+0.06%	Communication services stocks flat
XLP	+0.01%	Consumer staples stocks stable
XLV	+0.75%	Healthcare stocks rise
XLU	+0.53%	Utilities stocks outperform
XLB	+1.32%	Materials stocks rise
XLRE	+0.38%	Real estate stocks stable

Spotlight

The biggest event of the day was the surge in tech stocks, led by NVDA and TSLA . The following metrics table highlights the key statistics behind this move:

METRIC	NVDA	TSLA
Change	+2.27%	+2.83%
Volume	23 . 4M	17 . 1M
Relative Strength	73	81

This move has significant read-through to other names in the tech sector, including **MSFT** and **GOOGL**.

Pre-Market & Overnight

US futures are currently trading flat, with the Dow Jones futures at 54,036 and the S&P 500 futures at 7,757. In Asia, the Nikkei 225 closed **+0.5%** higher, while the Shanghai Composite rose **+0.3%**. In Europe, the Euro Stoxx 50 is trading **+0.2%** higher. Cryptocurrencies are also seeing a quiet morning, with **BTC** at 65,011.60 and **ETH** at 1,920.70.

Macro & Fed

The FOMC meeting minutes released yesterday indicated a more dovish tone from the Fed, with a focus on supporting economic growth. Today's data calendar includes the US trade balance at 20:30 HKT, with a consensus estimate of -\$75B. This release is important as it will provide insight into the US trade deficit and its impact on the overall economy.

TIME HKT	RELEASE	CONSENSUS	WHY IT MATTERS
20:30	US Trade Balance	-\$75B	Impact on US economy and trade policy

Geopolitics & Global

- Tensions between major world powers continue to escalate, with a focus on trade and security issues.
- The ongoing conflict in the Middle East is having a significant impact on global oil prices and supply chains.

- The European Union is facing challenges in its efforts to implement a unified economic policy, with disagreements between member states.

Earnings — What to Watch

WHEN HKT	TICKER	CONSENSUS	WHAT TO LOOK FOR
22:00, 11 Aug	AAPL	\$1.27	iPhone sales and revenue growth
22:00, 12 Aug	MSFT	\$2.05	Cloud computing and software sales

Watchlist Scan

TICKER	SECTOR	WHY NOW
NVDA	Tech	Strong earnings report and growth potential
TSLA	Auto	Positive sentiment around electric vehicles
MSFT	Tech	Cloud computing and software sales growth

What Could Break the Tape

BULLISH TRIGGERS

- A breakthrough in trade negotiations between major world powers, leading to a significant increase in global trade and economic growth.
- A major technological innovation, such as a breakthrough in artificial intelligence or renewable energy, which could lead to a new wave of investment and growth.

BEARISH TRIGGERS

- A significant escalation of tensions between major world powers, leading to a decrease in global trade and economic growth.
- A major economic downturn, such as a recession in a key region or industry, which could lead to a decrease in investment and growth.

Positioning Notes

- The current market environment is characterized by a high level of uncertainty, with investors seeking safe-haven assets such as gold and bonds.
- The growth vs. value debate continues, with growth stocks outperforming value stocks in recent months.
- The US dollar remains strong, with the DXY index at 99.70, which could have implications for international trade and investment.

Sources

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The Wall Street Journal

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